

offers multiple opportunities to investors to participate in the Indian stock markets for long-term wealth creation.

“With the rise of HNIs/UHNIs (ultra-HNIs) over the last 10 years, there has been growing interest in investing in boutique portfolios through the PMS platform,” says Chaturvedi, whose firm is among the largest players in the space.

But how does one pick the right PMS? Selecting the right one involves assessing the firm’s experience, investment philosophy and performance history, as well as reviewing the fee structure.

56 | A good PMS helps investors diversify portfolios, manage risks, navigate complex investment landscapes, and avoid erratic investing decisions. Choosing a reputable PMS can bring professionalism to investments and assist in achieving financial goals. So, it is important that potential investors make time and effort to choose the right service. This assumes significance as PMS is all about the perennial search for alpha—or return over and above that of the underlying benchmark—and this throws up interesting statistics.

Data shows that not a single portfolio manager catering to affluent investors witnessed a fall in their portfolios in the last 12 months till February 2024. And, the Top 5 alpha generators recorded gains of more than 100% even as fund managers believe that the robust Indian economy and the government’s thrust on capital expenditure, which is providing



“The industry has demonstrated its capabilities with continuous alpha generation by well reputed and professional managers”

SUNIL ROHOKALE
MD & CEO, ASK INVESTMENT MANAGERS



“The relatively smaller fund sizes enable flexibility, nimbleness, and an ability to provide concentrated portfolios to provide alpha”

NITIN RAHEJA
EXECUTIVE DIRECTOR,
JULIUS BAER INDIA

buoyancy to the equity markets, will continue to present similar opportunities in the long run.

Going ahead, the scope of growth for PMS as an industry is huge as India is expected to see a strong uptrend in the number of wealthy individuals, who typically look at bespoke investment solutions that a mutual fund cannot offer. PMS is the best option for such HNIs and ultra-HNIs.

“I see tremendous growth for the PMS industry. The number of HNIs is growing in India, and they need sophisticated and boutique managers to manage their wealth. Digital distribution, direct pricing, greater transparency, and innovative strategies are expected to drive AUM as well as client growth in excess of 20% annually in my view,” says Ved of Alchemy Capital Management.

This desire for a differentiated strategy has led to the emergence of boutique PMS firms—mostly launched by well-known and marquee fund managers who chose to embark on their own entrepreneurial journey after having worked under the shadow of a big firm for many years.

Chaturvedi of Motilal Oswal Mutual Fund believes that competition is always healthy and leads the industry to grow, while investors are offered choices, and fund managers will be more competitive to deliver consistent returns.

In the pages that follow, find out all about PMS schemes and the strategies that worked best.

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